



User interaction with digital platforms: A consumer protection perspective

Nellie Lew^a and Devesh R. Raval^{a,1}

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The rapid growth of digital platforms has transformed how consumers interact with the marketplace and led to new challenges for consumer protection. This Perspective describes how the Federal Trade Commission's Bureau of Economics uses behavioral insights and empirical methods to support efforts to prevent unfair or deceptive business practices in digital markets. We highlight two studies that address critical knowledge gaps in digital consumer protection, including how consumers perceive and respond to advertising disclosures and how digital design choices affect the accessibility and effectiveness of consumer reporting tools. The studies illustrate how behavioral research can be used both prospectively, to evaluate potential remedies, and retrospectively, to assess the effects of past Federal Trade Commission (FTC) actions. The first study is a laboratory experiment that examines how the salience of advertising disclosures influences consumer recognition of and engagement with advertising content, where engagement is defined as the time users spend viewing ads. The second is a retrospective analysis of a redesigned consumer complaint website, using a natural experiment to evaluate the effect of usability improvements on complaint submission rates and information quality. Together, these studies demonstrate how applied research on user behavior can inform marketplace oversight and the design of consumer-facing tools. We conclude by outlining ongoing efforts to expand the role of empirical research at the FTC to strengthen the foundation for evidence-based policymaking in an increasingly complex digital environment.

consumer protection | digital platforms | user experience | experimental economics | behavioral research

The Federal Trade Commission (FTC) is the primary federal agency responsible for protecting consumers and promoting competition in the United States. A central component of this mission involves addressing deceptive and unfair business practices. Deceptive practices are representations or omissions that are likely to mislead reasonable consumers, while unfair practices cause substantial harm that consumers cannot reasonably avoid and that is not outweighed by countervailing benefits.

To carry out this mandate, the FTC relies on two principal tools: enforcement and rulemaking. Through enforcement actions, the agency can investigate and stop harmful conduct, often securing consumer refunds and requiring firms to change their practices. Through rulemaking, the Commission can establish clear rules that clarify expectations for firms

and address widespread problems affecting consumers.^{*} Together, these tools form the institutional foundation for the FTC's efforts to deter misconduct, promote compliance with the law, and adapt consumer protection to evolving market dynamics.

In recent years, the FTC has increasingly applied these tools to address deceptive practices online that distort consumer decision-making, erode trust, and impose financial burdens, such as fake or incentivized reviews and testimonials, hidden fees, and overly burdensome subscription cancellation processes. For example, businesses may manipulate online reviews to attract customers knowing that those reviews do not reflect genuine experiences. This deception undermines the ability of consumers to make informed choices and disadvantages honest companies that compete fairly. Practices like drip pricing, where a seller advertises only part of a total price and reveals additional mandatory fees later, can lead to unexpected costs for consumers. Convoluting cancellation processes trap consumers in unwanted subscriptions. These tactics harm individuals and compromise the integrity of digital marketplaces.

The agency has responded to these challenges by expanding its enforcement and regulatory activity in the digital economy. In September 2025, for example, the FTC settled allegations that Amazon deceptively enrolled consumers into its Prime subscription programs and made it difficult for them to cancel their memberships; the settlement requires Amazon to pay up to \$1.5 billion in restitution to consumers and a \$1 billion civil penalty. On the regulatory side, the FTC has recently issued several regulations affecting online platforms. These rules include the Fake Reviews Rule to prevent online review manipulation, the Unfair and Deceptive Fees Rule to prevent drip pricing in live event ticketing and short-term lodging, and

Author affiliations: ^aFederal Trade Commission

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¹To whom correspondence may be addressed. Email: draval@ftc.gov.

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^{*}With Executive Order 14215, "Ensuring Accountability for All Agencies," extending Executive Order 12866, "Regulatory Planning and Review," Office of Information and Regulatory Affairs (OIRA) review to all federal agency regulations that were previously exempt, the FTC's rule-making process may increasingly resemble that of other federal agencies. However, certain procedural requirements remain unique to the FTC (1).

updates to the Negative Option Rule to make it easier for consumers to cancel subscriptions.[†]

1.1 Research at the FTC

Alongside its law enforcement and regulatory responsibilities, the FTC uses research as an important tool for advancing its mission. The agency is empowered to do research by Section 6 of the FTC Act, which authorizes the Commission to initiate studies, compel information from firms for such inquiries, and publicly disseminate its findings. This authority enables the FTC to investigate emerging market trends, assess the effectiveness of policy interventions, and inform internal decision-making and public debate.

Within the agency, the Bureau of Economics (BE) serves as the primary hub for research activity. BE economists engage in both “top-down” directed research tied to law enforcement and rulemaking efforts and “bottom-up” independent research initiated by economists to explore broader questions of market structure, consumer behavior, and policy design.[‡] Directed research responds to specific policy needs and can play a foundational role in shaping regulatory initiatives. For example, economic analysis of hotel resort fees conducted over a decade ago provided early empirical evidence on how drip pricing can reduce price transparency and distort consumer decision-making (2, 3). This work helped establish a framework for understanding the consumer harm associated with such practices and was later cited in the Commission’s rulemaking record for the Unfair and Deceptive Fees Rule.

In parallel, much of BE’s independent research grows out of economists’ engagement with casework. Recurring patterns observed in investigations serve as a catalyst for systematic research into underlying market dynamics. Researchers frequently study the effects of FTC interventions and develop and validate analytical tools to evaluate enforcement actions. For example, BE economists have authored over a fifth of all published merger retrospectives that assess the effects of consummated mergers (4).

1.2 Behavioral Research

Behavioral research plays a central role in BE’s work on consumer protection by informing how consumers respond to firm actions and policy interventions. In this paper, we define behavioral research as the use of insights from psychology and related fields to understand how consumers perceive, interpret, and act on information in real-world markets. This approach emphasizes empirical evidence on how people actually behave, including the roles of cognitive limitations,

heuristics, and context in shaping decisions. Psychologists focus on the cognitive mechanisms behind behavior, while economists focus on how these patterns affect market outcomes and policy effectiveness.

Several economists in BE have formal training in behavioral science and have contributed to behavioral and experimental research across a range of policy-relevant domains.[§] Their work spans a wide range of issues, including consumer susceptibility to fraudulent marketing practices (6), deceptive language (7), incentives in experimental design (8), the complexity of disclosures (9) and cooperative strategies (10, 11), rational inattention (12), time preferences (13), learning in consumer search (14), obesity and impatience (15), and cognitive biases such as anchoring (16). Collectively, this research reflects BE’s commitment to behaviorally grounded analysis of how consumers interact with firms and policies in complex market environments.

Behavioral research informs FTC policy at multiple stages, from evaluating potential remedies before implementation to assessing the effects of enforcement and regulatory actions after the fact. Prospectively, it can evaluate whether remedies for potentially deceptive or unfair marketplace conduct are likely to improve consumer outcomes, thereby guiding the agency’s enforcement and policy decisions. Studies on mortgage disclosures provide examples of such research (17, 18). Using controlled experiments, BE economists showed that consumers frequently misunderstood the costs of mortgages when relying on existing disclosures, while enhanced disclosures substantially improved comprehension. However, alternative disclosures that emphasized compensation from lenders to mortgage brokers backfired, leading consumers to make worse decisions by overweighting broker incentives.

Retrospectively, behavioral research can assess the effects of past FTC actions. One example of such research comes from the Suntasia case, in which the FTC sued a firm for allegedly enrolling consumers in fraudulent subscriptions (19). A judge assigned consumers to different cancellation conditions based on their enrollment date: Some had to actively cancel, while others were automatically unsubscribed unless they affirmatively chose to continue. Cancellation rates were much higher when opting out of the subscription was the default. By showing that requiring consumers to actively cancel has the potential for large consumer harm, this research helped motivate the enforcement and regulatory efforts on negative-option subscriptions, such as the settlement with Amazon described earlier.

In the sections that follow, we examine FTC research on improving consumer interactions with online platforms, illustrating prospective analysis through a laboratory study of advertising disclosures and retrospective analysis through an evaluation of the FTC’s fraud-reporting website redesign. We conclude by discussing opportunities to further integrate social and behavioral research into consumer protection policy.

2. Improving Ad Recognition Online through Disclosures

2.1. Consumer Risks and Gaps in Knowledge. The foundation of the FTC’s approach to advertising is that consumers should

[†]For the FTC’s settlement with Amazon, see <https://www.ftc.gov/news-events/news/press-releases/2025/09/ftc-secures-historic-25-billion-settlement-against-amazon>. The FTC is now in the process of proposing a rulemaking to address unfair and deceptive fees in rental housing. See: <https://www.ftc.gov/news-events/news/press-releases/2026/01/ftc-submits-draft-anprm-related-rental-housing-fees-omb-review>. On July 8th, 2025, the U.S. Court of Appeals for the Eighth Circuit vacated the Negative Option Final Rule amendments. See <https://ecf.ca8.uscourts.gov/opndir/25/07/243137P.pdf> for more details. The FTC is now considering new amendments to the Negative Option Rule: see <https://www.ftc.gov/news-events/news/press-releases/2026/01/ftc-submits-draft-anprm-related-negative-option-plans-omb-review>.

[‡]Independent research undergoes substantive review within BE by the Assistant and Deputy Directors for Research, as well as a distinct review by the Office of the General Counsel to ensure compliance with confidentiality requirements. Directed research is reviewed by multiple Bureaus and Offices and by the offices of all Commissioners, and its external release must be authorized by a Commission vote.

[§]Alongside economists, marketing researchers have also contributed behavioral research that supports the FTC’s consumer protection mission (5).

be able to distinguish ads from organic content.[†] This principle has become more challenging in digital markets in which new forms of advertising blur traditional boundaries. Search engines display paid search results next to organic results that are ranked by an algorithm based on their relevance to the user's query. Publishers increasingly use "native advertising," paid content that is designed to mimic news articles or other organic content and placed alongside them.

Firms often strategically shroud, or make less salient, certain product attributes to shape consumer behavior (20). Advertising disclosures on digital platforms offer a clear example: although platforms are required to provide disclosures for advertisements, they may have strong incentives to make those disclosures less salient to consumers. Platforms earn revenue from advertising, while consumers may place greater value on organic content such as algorithmic search results or posts from friends and family. By making ad disclosures less noticeable and thereby "pooling" ads with organic content, platforms can induce consumers to view more advertising and increase their profits (21).

To combat the risk that consumers would not recognize ads online, the FTC developed business guidance on how to disclose advertising online in 2000 (22), which were revised in 2013 (23). These guidelines informed businesses that disclosures on advertising had to be clear and conspicuous and that disclosures had to be located close to advertising claims to be effective. The guidance then provided specific recommendations for disclosures, such as to design advertisements so consumers did not have to "scroll" to find the disclosure.

Despite this guidance, however, worries remained that consumers found it difficult to recognize advertising online. For example, the FTC sent letters to the most prominent search engines in 2013 warning that they had observed a decline in compliance with the guidance, and hosted a workshop to discuss native advertising. The FTC would need evidence to support any action it might take; as then Assistant Director for Advertising Practices Mary Engle stated in reference to search engine ads, "if we were ever going to bring any type of enforcement action, it would be our burden to say if that's deceptive."[‡]

The FTC thus launched an experimental study (24, 25) to answer three questions about sponsored links on search engines and native advertisements on news websites. First, how well could consumers recognize ads online? Second, did improved disclosures increase ad recognition? Third, did improved disclosures affect user behavior?

2.2. Experimental Evaluation of Remedies. The study examined eight scenarios modeled on real websites to answer these three questions. Four scenarios featured search ads and

four native ads, with each ad type represented on both desktop and mobile platforms. The search ad scenarios used Google and Bing on both desktop and mobile devices, while the native ad scenarios drew from Gear Patrol and Yahoo on desktop computers and the Chicago Tribune and Time magazine on mobile phones.

The FTC then worked with usability experts to modify each website to improve ad disclosures to ensure that consumers noticed them. The redesigned disclosures were modeled on previous FTC guidance and usability guidelines based upon insights from cognitive psychology (26). They were designed to appear where consumers could easily notice and understand them, use clear and consistent terms like "ad," provide sufficient contrast with the background, employ visual cues like borders, and have a font size that consumers could read.

Fig. 1 illustrates the Google desktop scenario, comparing the original website (A) with the modified website (B). The modifications are relatively modest. First, a border is placed around the Google Shopping Box, its ad label is moved from the top right to the top left, in line with left-to-right bias in visual information processing (27), and its ad label uses "Ads" rather than "Sponsored." Second, the text and background color of the ad labels are changed from white-on-yellow to black-on-orange.

Although visual salience influences economic behavior and consumer decision-making (28, 29), it was unclear whether increasing the salience of advertising disclosures would draw users' attention toward or away from advertising. If advertising serves as a signal of quality (30, 31), more salient disclosures could draw additional consumer attention to ads. Conversely, if advertising is less informative than organic content (21), or consumers are skeptical about advertising, increasing the salience of advertising disclosures may lower consumers' confidence in content they recognize as advertising, as observed in studies of privacy disclosures (32). Finally, if advertising disclosures become overly prominent, consumers may overweight the paid nature of content relative to other attributes, such as relevance or quality, leading to distorted evaluations and choices (33).

The FTC evaluated improved advertising disclosures using a mixed within- and between-subjects design involving 48 participants in an eye-tracking laboratory. Guided by a moderator, each participant viewed a series of advertising scenarios, with both disclosure conditions and scenario order randomized across participants.

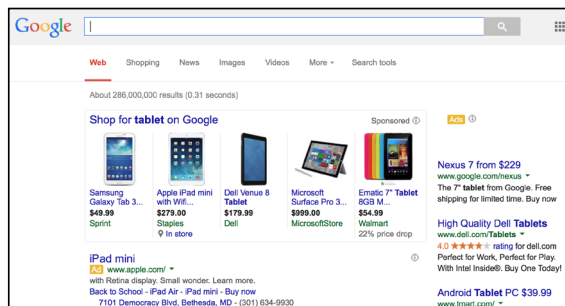
In the Google Desktop scenario shown in Fig. 1, for example, participants were instructed to imagine that they were shopping for a tablet and to search for one on Google for 2 min while thinking aloud. The moderator followed up with probing questions about the participant's search process and reactions to specific elements on the page, including advertisements. Participants were also asked to click on items of interest, both ads of interest and decoys, to better understand their decision-making and attention patterns.

2.3. Findings and Policy Implications. The study examined two key outcomes. First, an expert consultant reviewed video recordings of the experiment and coded whether participants recognized the content as advertising. The design modifications increased ad recognition by 21 percentage

[†]Organic content refers to material that users encounter naturally in digital environments, such as algorithmic search results, social media posts from friends or followed accounts, or editorial content, rather than content that appears because a firm has paid for placement or promotion.

[‡]The letter stated "Since then [referring to letters sent in 2002], however, we have observed a decline in compliance with the letter's guidance." and "In recent years, the features traditional search engines use to differentiate advertising from natural search results have become less noticeable to consumers, especially for advertising located immediately above the natural results ("top ads"). Indeed, a recent online survey by a search strategies company found that nearly half of searchers did not recognize top ads as distinct from natural search results and said the background shading used to distinguish the ads was white." See <https://www.ftc.gov/news-events/news/press-releases/2013/06/ftc-consumer-protection-staff-updates-agencys-guidance-search-engine-industry-need-distinguish>. For the native advertising workshop, see <https://www.ftc.gov/news-events/events/2013/12/blurred-lines-advertising-or-content-ftc-workshop-native-advertising>. For the Mary Engle quote, see <https://searchengineland.com/ftc-search-engine-disclosure-164722>.

A



B

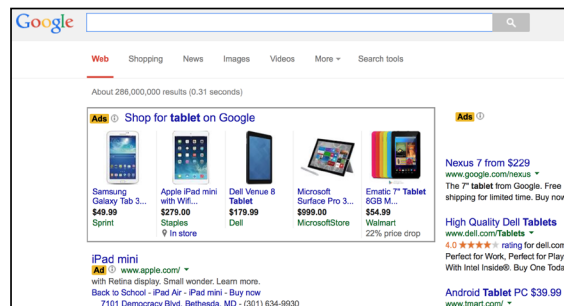


Fig. 1. Google desktop scenario. (A) Original website. (B) Modified website. Reprinted from ref. 24.

points from a baseline rate of 47% on unmodified websites, corresponding to a 45% relative increase in recognition.

Second, eye-tracking data examined changes in user behavior by measuring how long participants viewed each ad condition. Relative to the unmodified design, improved disclosures led participants to spend 21% less time looking at ads, consistent with reduced engagement once advertising content was more clearly identified. Both the improvements in ad recognition and reductions in ad viewing time were consistent across desktop and mobile conditions and search and native ad formats.

The findings from this study directly informed a subsequent policy statement and business guide on native advertising (34, 35), which supplemented the FTC's earlier guidance on online advertising disclosures. The business guidance specified when native advertisements must be disclosed and provided a set of examples of when disclosures would be necessary. The guidance also identified proximity and placement, prominence, and clarity of meaning as three core principles for effective disclosures, with each accompanied by specific recommendations.

While the study examined whether consumers could distinguish advertisements from organic content online, it did not measure the harms that may arise when consumers are misled. One important harm is increased exposure to fraud through digital advertising. A Reuters investigation found that Meta internally projected that ads for scams and banned goods could account for about 10 percent of its 2024 revenue and that its platforms were serving an estimated 15 billion scam ads a day.^{††} Consistent with these concerns, consumers reported \$1.8 billion in fraud losses that originated on social media platforms to the FTC's Consumer Sentinel Network in 2024. Beyond fraud, research has indicated that products advertised online tend to be sold by lower-quality vendors and at higher prices than those found in organic search results (36).

To learn more about this problem, the FTC issued orders under its Section 6(b) authority in March 2023 seeking information from eight major social media and video platforms, including Meta, YouTube, and TikTok, concerning their practices for detecting and preventing deceptive advertising. The requests covered content moderation policies, procedures for identifying and removing deceptive or harmful ads, the disclosure of paid content, the role of algorithms and human review, and metrics on ad revenue and user exposure. By

^{††}See <https://www.reuters.com/investigations/meta-is-earning-fortune-deluge-fraudulent-ads-documents-show-2025-11-06/>.

obtaining nonpublic, platform-level data across a range of advertising categories, the study will offer a rare empirical window into the extent to which online platforms protect users from fraud and deception.

3. Encouraging Consumer Reporting of Fraud through Website Design

3.1. Consumer Risks and Gaps in Knowledge. Consumer problems, and the actors who create them, evolve constantly, making timely detection essential. Consumer complaints are the FTC's most important source of information on emerging harms; the agency received 1.5 million fraud and other complaints in 2024. In addition, the FTC runs the Consumer Sentinel Network, which combines complaints on consumer protection topics from several contributors including the Better Business Bureaus (BBB) and Consumer Financial Protection Bureau (CFPB).^{**} Beyond learning about consumer protection problems, information from such complaints can also be used to educate consumers about how scams operate through news stories and blogposts (37) and to provide evidence in court against wrongdoers.

A major concern for the FTC, however, is that most victims of fraud and other deceptive business practices never report their experiences to the government. FTC victimization surveys indicate that less than five percent of victims complain to government sources or the BBB (38). Comparing victims and complaints on the same FTC enforcement actions, very few victims complain, with one scam having only 1,400 complaints compared to 2 million victims.^{††} Who decides to complain is not random; for example, victims in majority Black and Hispanic areas had significantly lower complaint rates than others (39, 40). These low and uneven reporting rates risk leaving major marketplace harms undetected.

To encourage more consumers to file complaints, the FTC redesigned its complaint website to improve usability and emphasize the prosocial benefits of reporting scams. The effects of this redesign on consumer behavior were unknown: Did the number of complaints increase? Did the information provided in the complaints improve? How did the complainants, and their complaints, change? Economists in BE analyzed the redesign to answer these questions (41).

^{**}See <https://www.ftc.gov/enforcement/consumer-sentinel-network> for more details on the Consumer Sentinel Network. The Consumer Sentinel Network received 6.5 million complaints in 2024.

^{††}This case was brought against Ideal Financial, a company that bought consumer payday loan applications and then used the bank account details in the applications to withdraw money from the consumers' bank accounts without their consent. See ref. 39.

3.2. Experimental Evaluation of Remedies. The redesign was informed by a series of usability studies in which participants were asked to file a complaint based on a specific fraud scenario and then discuss their experience. Participants in the first such study noted two key shortcomings in the old website, FTC Complaint Assistant, whose landing page is depicted in Fig. 2A. First, they reported feeling disconnected from the FTC and questioned the value of submitting a complaint, especially given that the agency could not guarantee monetary recovery for victims. Second, the site’s user interface left much to be desired: The design was visually cluttered and difficult to navigate, it was difficult to accurately categorize complaints, and the complaint flow required progressing through seven separate screens to complete a report.

The new website ReportFraud.ftc.gov was developed in response to such user feedback and internal assessments; the updated landing page is shown in Fig. 2B. First, the new website emphasized the prosocial benefits of filing a complaint, with a tagline of “Report to help fight fraud!” and an emphasis on how reporting would safeguard communities, including a graphic of a stylized community and a shield symbolizing the protective effects of complaining. Second, the new user interface had a much clearer visual design, a simpler way to categorize complaints, and a much shorter flow to submit a complaint. A subsequent usability study confirmed that participants found the redesigned site easier to use and more motivating and informed several minor refinements for the final version, particularly to complaint categorization.

Although the redesign was driven by user feedback, its features are consistent with insights from behavioral science. First, research on “dark” or deceptive design patterns shows that confusing interfaces and added friction can meaningfully shape consumer decisions; increasing friction reduces the likelihood that users select a given option (42, 43). Relatedly, work in economics shows that “hassle costs” that make it more difficult to enroll in government programs alter the composition of participants who take up those programs (44, 45). The redesign reduced the friction involved in filing a complaint. Second, psychological research documents that people have prosocial preferences and often act to benefit others (46–49), consistent with the redesign’s emphasis on the community-wide value of reporting fraud.

The agency launched the redesigned website while simultaneously retiring the old version on October 22, 2020. This abrupt transition created a natural regression discontinuity research design (50), in which any immediate shifts in

outcomes would be attributed to the redesign. The assumption required for causality is that no other discontinuous changes, such as in fraud incidence or reporting behavior, happened at the same time as the launch date. To evaluate this assumption, the analysis examines complaint channels unaffected by the redesign, such as phone complaints and complaints submitted to the CFPB and BBB.

3.3. Findings and Policy Implications. Fig. 3 depicts the regression discontinuity estimates for four different complaint sources: the FTC mobile website (A), the FTC desktop website (B), the FTC Call Center (C), and the CFPB and BBB (D). Each panel in Fig. 3 shows the number of daily complaints by source for the 60 d before and after the website redesign, with all values expressed relative to the number of complaints on the day prior to the launch. The vertical line marks the date the new website went live. The econometric model estimates separate linear trends before and after the launch, shown as solid lines. The vertical gap at the discontinuity represents the estimated effect of the redesign on complaint volume.

The estimates shown in Fig. 3 imply a statistically significant 26% increase in mobile complaints and a 31% increase in desktop complaints with the website redesign. The increase appears immediately following the launch of the new website. By contrast, call center complaints declined by 9%, although the change was not statistically significant, and complaints submitted to the CFPB or BBB had no meaningful changes. The number of visitors to the FTC’s complaint website remained steady after the redesign, indicating that the rise in complaints was driven by website users being more likely to file a complaint.

Beyond the large increase in complaints, consumers provided more information in their complaints on topics useful to policymakers. For all desktop and mobile complaints, the share of consumers reporting their zip code rose by 9%, their age by 13%, and the company or individual that defrauded them by 6% after the redesign. Thus, the quality as well as quantity of complaints increased with the redesign.

Consumers who complained because of the redesign were different from existing users. They wrote less and employed a simpler writing style. They were more likely to complain about telemarketing and imposter scams and less likely to complain about scam texts and emails, using either the category of their complaint or topic modeling of complaint text (51). Finally, they were less likely to use payment-related terms such as purchase, order, money, and payment.

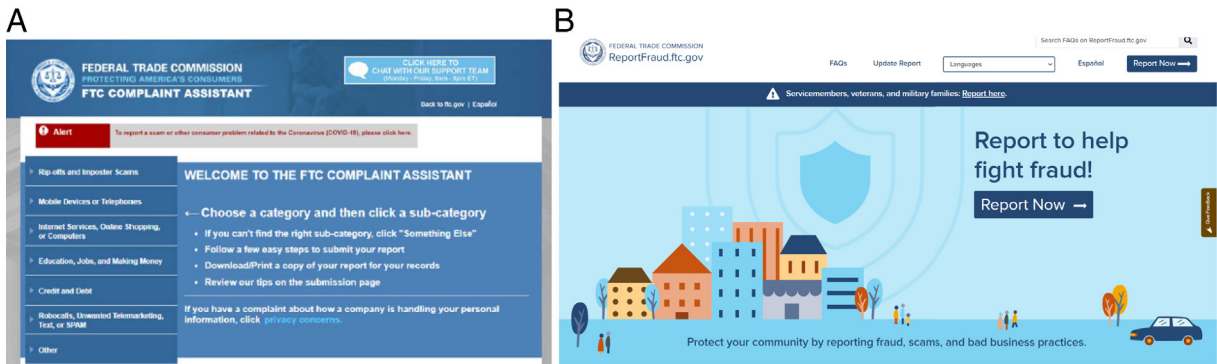


Fig. 2. Website landing page. (A) FTC Complaint Assistant (old). (B) FTC Report Fraud (new). Reprinted from ref. 41.

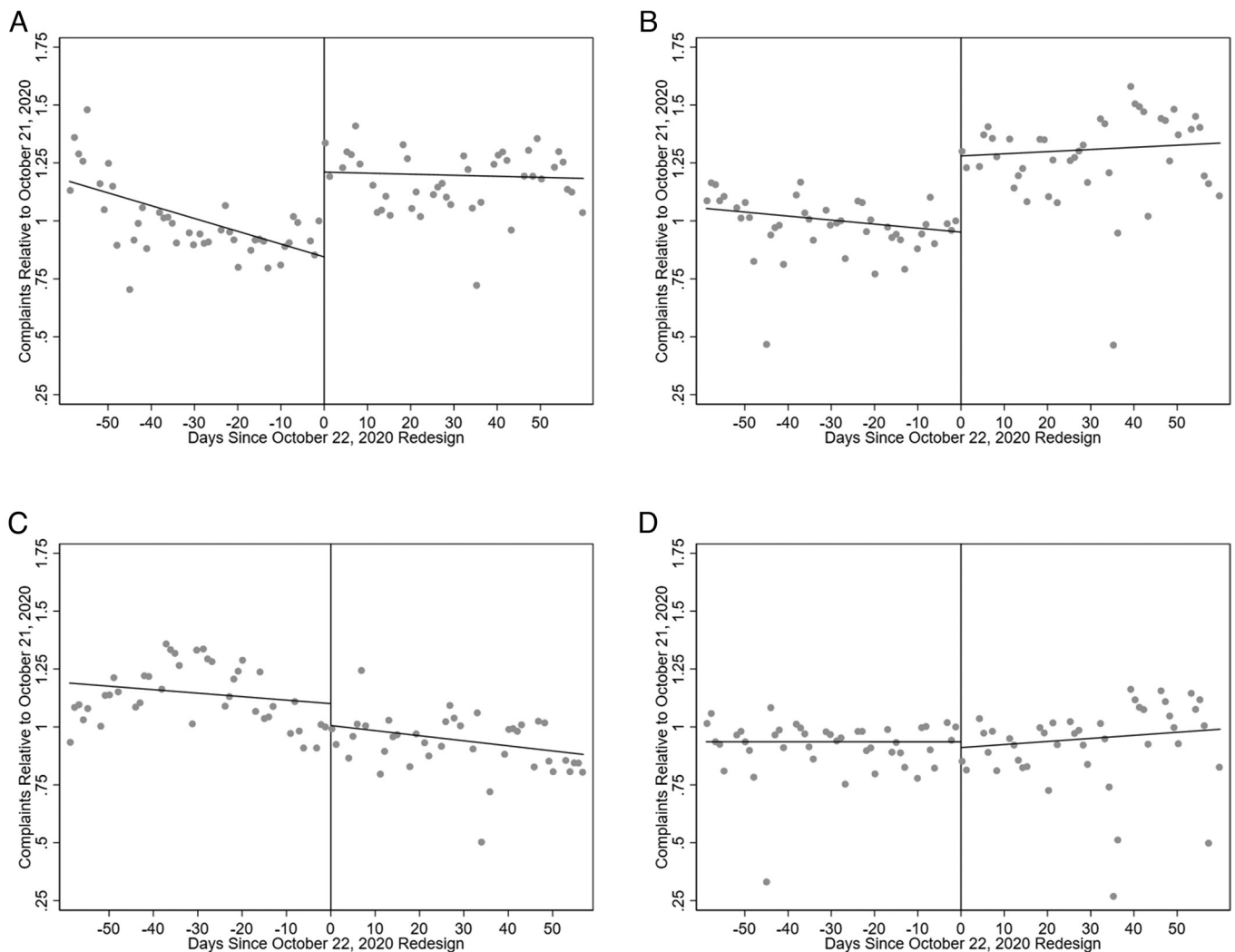


Fig. 3. Regression discontinuity estimates of the effects of website redesign on the number of complaints, by complaint source. (A) FTC mobile. (B) FTC desktop. (C) FTC call center. (D) BBB and CFPB. Reprinted from ref. 41.

The redesign did not, however, reduce the racial disparities in complaint rates documented in earlier work. Estimating race probabilities for consumers based on their first and last name, the study showed that while complaints increased substantially for all racial groups, the relative gaps between groups persisted. Earlier research suggested that lower complaint rates among Black and Hispanic consumers stem from social alienation rather than the hassle cost of filing a complaint (39), so it is perhaps unsurprising that a redesign focused on usability did not eliminate these disparities.

A key limitation of the study is that it could not isolate which specific changes to the website drove the increases in the quantity or quality of complaints. In contrast, major digital platforms routinely conduct randomized tests of design changes through built-in experimentation systems. Such testing would allow the agency to identify which design features matter most and conduct continuous refinement of the complaint interface.

While the study had limitations, its findings demonstrate that enhancing usability can significantly increase user participation—highlighting the importance of intuitive design in complaint portals. In 2024, the Department of Justice and FTC launched HealthyCompetition.gov, a public reporting portal

for anticompetitive practices in the health care sector, and the FTC introduced a separate portal for antitrust-related complaints.⁴⁴ The findings from this study suggest that attention to usability could play an important role in shaping the effectiveness of these newer reporting tools.

More broadly, the agency has worked to make complaint information more accessible to the public. The FTC now maintains an interactive Tableau dashboard with complaint statistics. It regularly publishes Data Spotlight blogs highlighting emerging fraud trends, with recent posts discussing the rise in fraud from bitcoin ATMs and scams targeting retirees' life savings. In addition, the Division of Consumer and Business Education of the Bureau of Consumer Protection translates these insights into accessible guidance for consumers.⁵⁵

⁴⁴See <https://www.ftc.gov/news-events/news/press-releases/2024/04/federal-agencieslaunch-portal-public-reporting-anticompetitive-practices-health-care-sector> and <https://www.ftc.gov/news-events/news/press-releases/2024/10/ftc-finalizes-changes-premerger-notification-form>.

⁵⁵For the FTC's Tableau page, see <https://public.tableau.com/app/profile/federal.trade.commission>. For the FTC's data spotlights, see <https://www.ftc.gov/news-events/data-visualizations/data-spotlight>. For details on the Division of Consumer and Business Education, see <https://www.ftc.gov/about-ftc/bureaus-offices/bureau-consumer-protection/our-divisions/division-consumer-business>.

4. Lowering Barriers to Research at the FTC

While the previous sections illustrate how behavioral research can inform consumer policy, conducting such research within government remains more challenging than in academic settings because of technical barriers to working with large-scale datasets and statutory constraints on data collection. In this section, we outline ongoing efforts to reduce these barriers and highlight opportunities for advancing behavioral research.

4.1. Modernizing IT Infrastructure. Beyond consumer complaints, the FTC receives enormous amounts of data in textual form, including company documents, emails, and customer response management databases. In addition, user-generated reviews on products are increasingly available online. Modern text-mining methods applied to such data can identify “hot documents” that contain especially salient evidence, quantify victimization under different theories of harm, and shed light on hard-to-measure dimensions of quality relevant for enforcement (52).

Two recent initiatives will facilitate the application of modern text mining techniques at the FTC. First, the agency has acquired a high-performance server equipped with a graphical processing unit (GPU), which will significantly accelerate AI-related tasks such as natural language processing. Second, the FTC recently obtained a Technology Modernization Fund (TMF) grant to develop a cloud-based analytics platform, which will enable researchers to use large-scale datasets.

4.2. Navigating Statutory Constraints on Data Collection. Experiments, in which treatment is randomized across individuals in naturally occurring settings, have become a central tool for empirical research (53–55). These studies are especially valuable to the FTC because they can allow the agency to learn how consumers respond to real-world marketplace practices and provide direct, actionable evidence of harm or manipulation. For example, the FTC cited internal Amazon experiments that tested providing consumers more and better information at signup as evidence that Amazon was deceptively enrolling consumers into Prime.^{¶¶}

Despite their value, conducting experiments within government agencies like the FTC is challenging. Chief among these barriers is the Paperwork Reduction Act (PRA), which requires agencies to seek public comment and obtain approval from the Office of Management and Budget (OMB) before collecting identical information from ten or more members of the public. While designed to protect against unnecessary burden, this process can significantly delay or deter research. To address this constraint, the FTC’s Bureau of Economics has proposed a generic PRA clearance for voluntary surveys, interviews, and experiments related to its consumer protection and competition missions (56). This clearance would streamline the approval process for low-burden studies and enable researchers to conduct behavioral research more efficiently.

In parallel, the FTC is exploring alternative approaches that do not trigger PRA review. One promising avenue is the use of internal subject pools, such as FTC attorneys and staff, for in-house experiments. Because these studies do not involve public data collection, they are exempt from PRA requirements.^{##}

^{¶¶}See https://www.ftc.gov/system/files/ftc_gov/pdf/2023-09-20-067-AmendedComplaint%28redacted%29.pdf for more details.

^{##}Federal employees have previously served as study subjects in research, internal message testing, and other evaluations of communication strategies conducted by federal agency staff (57–59).

For example, experiments with legal professionals can yield insights into how attorneys assess risk, negotiate settlements, or respond to incentives, which are central to enforcement strategy but difficult to study in traditional academic settings.

4.3. Leveraging Data Assets for Research. The FTC routinely collects rich data on consumer experiences, including complaints submitted through its ReportFraud website and victim records from redress efforts, that can enable empirical research into consumer behavior and marketplace harms. Data on complaints have been used to learn about the effects of increased privacy protections (60), determine which countries produce cross-border fraud (61), and examine how fraud responds to economic shocks (62).

Complaint and victimization data have been invaluable for identifying demographic and behavioral patterns across different types of fraud (63–66). One consistent finding is that Black communities bear a disproportionate burden of fraud victimization across many types of fraud. The FTC highlighted this research in a recent report to Congress on its efforts addressing fraud affecting consumers of color (67).

When paired with complaint data, victim records can also help estimate the extent of underreporting in consumer fraud. For example, the FTC’s 2025 Older Adults Report draws on comparisons between the volume of complaints and independent victim data in specific cases (39) to estimate the scale of marketplace harm. While reported losses in 2024 totaled \$12.8 billion, extrapolations based on underreporting rates suggest that actual losses may have ranged from \$31.3 billion to as high as \$195.9 billion (66).

5. Conclusion

The FTC’s Bureau of Economics contributes to addressing emerging challenges in digital markets through behavioral research. In this article, we have shown how behavioral insights and empirical evidence can help bridge gaps in understanding consumer interactions within digital environments. Drawing on two studies, we demonstrated how interface design, such as ad disclosures and complaint submission processes, can significantly influence consumer comprehension and decision-making.

As digital platforms continue to evolve, BE’s recent efforts and ongoing initiatives are focused on building the infrastructure needed to support empirical tools, such as text analysis, surveys, and both field and in-house experiments. These methods will be important for crafting evidence-based consumer protection policies. By investing in these tools, we aim to ensure that consumer protection policy remains grounded in real-world consumer experiences in a rapidly evolving digital marketplace.

Data, Materials, and Software Availability. There are no data underlying this work.

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